RECOMMENDATION TO ELENA MARSH, CEO, AND THE ALDERBROOK BOARD

Acquire Brightwater through a structured, pay-for-proof deal, and use it to build Alderbrook's AI-led innovation engine

Alderbrook ($1.8B revenue) grows 2% a year while US functional and better-for-you drinks (~$16B) grow 12–15%. Of the four options, only Brightwater closes both the FY29 revenue gap and the 12% functional-revenue target. Paying the full $450M upfront would push leverage to 3.04x and expose the company to a large loss if Brightwater's weak conventional-grocery velocity (0.8x) does not improve. We therefore recommend paying for velocity once it is proven.

FY29 revenue gap	Functional revenue gap	Value created (base case)	Leverage at close
$240–324M	**~$245M**	**+$141M**	**2.48x**
2% organic vs 5–6% target	12% target vs Vital's $22M	Structured deal, present value	vs 3.04x all-cash; limit 2.5x

The deal. $300M cash/debt at close, $50M founder and PE rollover equity, and up to $100M in earn-outs tied to conventional-channel velocity and revenue milestones. Brightwater runs as a ring-fenced brand unit with its own P&L and the founder as brand lead. Vital is folded into Brightwater's innovation pipeline. The distribution partnership is used as a pre-signing test, not as a standalone path. Marrow Lane is declined.

Answers to the five questions

1. **What limits growth:** a portfolio anchored in declining juice and flat iced tea (62% of revenue), 14-month innovation cycles, under-used plants (68%) and data, and a weak M&A integration record.
2. **Which path:** Brightwater (structured). It scores 4.55 of 5, against 2.10–2.55 for the alternatives.
3. **Value and funding:** base case +$141M, breakeven at ~$50M FY29 EBITDA. The structure keeps leverage under 2.5x and cuts the bear-case loss by $100M.
4. **Execution:** a stage-gated plan. National rollout starts only once conventional velocity is at least 1.0x, with seven questions answered before signing.
5. **AI and data:** combine Brightwater's trend engine with weekly data from 110,000 outlets for outlet-level launch targeting.

How we got there: 11 steps

STEP	FRAMEWORK / METHOD
1. Diagnosis	MECE issue tree
2. Portfolio	Growth-share analysis
3. Growth gap	FY29 gap analysis
4. Targets	Comparative profiling
5. Options	Weighted scoring (MCDA)
6. Funding	Leverage / capital structure
7. Synergies	Value-chain synergy sizing
8. Valuation	Exit multiple, discounted
9. Stress test	Bear / base / bull scenarios
10. Deal and plan	Earn-out structuring, stage gates
11. AI and data	Acquire / build / partner

Interactive dashboard with live value, leverage and scoring simulators (no login) **ashu481g.github.io/Delloite-US**

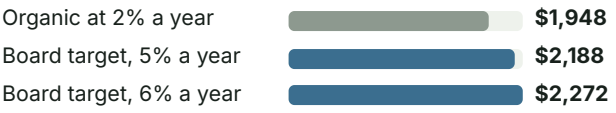
QUESTION 1 · WHAT LIMITS GROWTH

Alderbrook has scale but lacks innovation speed, and its portfolio sits in shrinking categories

MECE issue tree: why is growth only 2%?

- **Portfolio:** juice is 38% of revenue and falling 3% a year; iced tea is 24% and flat. Hydration and Vital, the growing part, are only 12%.
- **Innovation:** Vital took 14 months concept-to-shelf, against Brightwater's 90 days. Planning relies on annual panels and there is no commercial data-science team. After two years Vital is at $22M with 60% of volume on promotion.
- **Under-used assets:** plants run at 68% utilisation. Weekly outlet-level data from 110,000 outlets is used mainly for route planning.
- **M&A capability:** both prior acquisitions (2016, 2019) now sit below their acquisition-year revenue.

Gap analysis: FY29 revenue ($M)



$1,800M × $(1.02)^4$ vs × $(1.05–1.06)^4$. Revenue gap: $240–324M. Functional need: 12% × $2,188–2,272M = $263–273M, against Vital's $22M, a gap of ~$245M. Assumption: only Vital counts as functional; sparkling water is excluded.

What changing demand means for priorities

- Win in functional fast: buy proven traction rather than wait 24–36 months.
- Launch like a challenger, with data-led cycles under 6 months.
- Give retailers velocity, not promotion-driven volume.
- Grow within the guardrails: at least 11% operating margin and no more than 2.5x leverage.

QUESTION 2 · WHICH PATH

Only Brightwater closes both gaps. A structured deal keeps the upside within the leverage limits

OPTION	FILLS THE FY29 REVENUE GAP	12% FUNCTIONAL TARGET	LEVERAGE	BRAND CONTROL	SCORE (1–5)	VERDICT
Brightwater, structured	**Yes: $260–300M by FY29**	**Yes**	**2.48x**	**Full**	**4.55**	**Recommended**
Brightwater, full price in cash	Yes	Yes	3.04x	Full	4.00	Too much leverage and downside
Relaunch Vital ($50M)	Small, in 24–36 months	Partly	1.39x	Full	2.55	Fold into Brightwater
Distribution partnership	Small (fees only)	No	1.24x	None; could be sold to a rival	2.35	Use as pre-signing test
Marrow Lane ($170M)	About a third ($75–85M)	No (coffee and tea)	1.85x	Full; founders exit	2.10	Decline: ~27x EBITDA
Both acquisitions	Yes	Yes	3.65x	Full	n/a	Breaches the 3.5x covenant

Comparing the two targets (FY25)

	BRIGHTWATER	MARROW LANE
Revenue (growth)	$95M (+55%)	$48M (+14%)
Gross / EBITDA margin	44% / (2%)	40% / 13%
Production	3 co-packers, 18% costlier	Own plant, 70% utilised
Velocity vs category	**2.1x natural, 0.8x conventional**	n/a
Price	$450M (4.7x revenue)	$170M (~27x EBITDA)

Weighted scoring (MCDA)

Weights: revenue gap 20%, functional target 20%, innovation and AI capability 15%, value vs investment 15%, 2.5x leverage fit 10%, execution risk 10%, brand control 10%.

Scores are our team's judgment from the case facts and the model. The ranking holds under reasonable changes to the weights, which reviewers can test in the dashboard.

Central risk: Brightwater sells at only 0.8x category velocity in conventional grocery, which is exactly where the scale-up thesis needs it to sell.

Source: case data exhibits; team calculations.

QUESTION 3 · VALUE, INVESTMENT AND FUNDING

The deal creates value only if synergies land and velocity improves, so we pay for proof rather than the forecast

Synergies and valuation, base case ($M)

Standalone FY29 EBITDA ($260M × 1.10 uplift × 12%)	34
Manufacturing in-house: 75% of co-packed volume, 18% premium removed	18
DSD distribution: 35% of revenue routed, 8% net saving	8
Brand autonomy and retention cost	(3)
FY29 run-rate EBITDA (46% from synergies)	**58**
× 14x exit multiple, discounted 4 years at 9% = present value	572
Breakeven FY29 EBITDA at the full $492M investment	~50

Total investment $492M = $450M price + $12M transaction costs + $30M integration. Exit multiple and discount rate are illustrative assumptions.

Scenario stress test ($M)

	BEAR	BASE	BULL
FY29 standalone revenue	195	260	300
EBITDA margin / exit multiple	8% / 12x	12% / 14x	15% / 16x
FY29 EBITDA	21	58	95
Value created, full price	(310)	80	583
Value created, structured	**(210)**	**141**	**606**

Bear case: conventional velocity stays at 0.8x and revenue comes in 25% below management's low forecast. No earn-out is paid in the bear case; the full $100M is paid in the bull case.

Funding within the limits: net debt / EBITDA after the deal (net debt $324M, EBITDA $270M)



Markers show the board's 2.5x comfort level and the 3.5x lender covenant. Brightwater is EBITDA-negative, so it adds no debt capacity. Integration spend is counted at close as a conservative test.

QUESTION 4 · EXECUTION

Prove velocity before scaling, ring-fence the brand, and pay the earn-out against milestones

WEEKS 0–6
Confirm and structure
Diligence on the 7 questions; a distribution test in 2 DC regions; negotiate earn-out and rollover.
Gate: velocity trend and can-line fit confirmed

DAY 1–100
Protect and connect
Ring-fenced unit with its own P&L; retention for the founder and 5 AI specialists; integration office.
Gate: no key-talent attrition

MONTHS 4–12
Scale where it sells
Move co-packed volume in-house; outlet-targeted convenience rollout; fold in Vital.
Gate: conventional velocity ≥ 1.0x

MONTHS 13–36
Industrialise
National grocery rollout; data-science team applied to all brands; earn-out tranches paid.
Target: 12%+ functional by FY29

Questions to answer before signing

1. Why is conventional velocity 0.8x: price, placement or awareness?
2. Do the two can lines have capacity and format fit?
3. Will the founder and PE investor accept the earn-out and rollover?
4. What is the DSD cost per case for a low-volume brand?
5. Can we retain the founder and the 5 AI specialists?
6. Does sparkling water count as "functional / better-for-you"?
7. How do Vital and Brightwater fit without cannibalisation?

Key risks and mitigations

Third acquisition underperforms	Ring-fenced unit; integration office; earn-out
Brand identity diluted	Founder-led brand council with veto
Velocity does not improve	Rollout gates; earn-out not paid
Leverage above 2.5x	Deferred payments and rollover; deleverage from EBITDA
PE investor sells to a rival	Exclusivity; early distribution test

QUESTION 5 · AI AND DATA

Brightwater's trend engine and Alderbrook's outlet data become the company's growth engine

USE CASE	WHAT IT DOES	TARGET
Trend sensing to concept	Applies Brightwater's social, review-site and retailer-data trend tools across all Alderbrook brands, replacing annual panels	Concept-to-shelf from 14 to under 6 months
Outlet-level launch targeting	Uses weekly data from 110,000 outlets to find stores that resemble Brightwater's strong natural-channel stores, and launches there first	Conventional velocity from 0.8x to at least 1.0x
Promotion and price optimisation	Runs test-and-learn pricing to cut promotion dependence on Vital and new launches	Promoted share of volume from 60% to under 35%
Demand forecasting	Forecasts demand by SKU and outlet for the can lines and DSD replenishment	Fewer out-of-stocks; higher plant utilisation

Capabilities: acquire, build, partner

- **Acquire:** Brightwater's 5 AI and trend specialists, their tools and the 90-day launch process.
- **Build:** a commercial data-science team (8–10 people, an assumption) and a platform joining outlet, retailer and social data.
- **Partner:** syndicated scan data and a cloud analytics platform.
- **Governance:** human sign-off on every launch decision; no consumer personal data.

KPIs for the board

Functional revenue share	≥ 12% by FY29
Revenue growth	5–6% a year
Conventional velocity index	0.8x → ≥ 1.0x by FY27
Brightwater gross margin	44% → ~50% after in-housing
Net debt / EBITDA	≤ 2.5x at close; ≤ 2.0x by FY28
Repeat purchase rate	Hold ≥ 46%

APPENDIX

Facts, assumptions and calculations

INPUT	STATUS
Alderbrook $1.8B revenue, +2%, EBITDA $270M, net debt $324M; board limit 2.5x, covenant 3.5x	Case fact
FY29 ambition: 5–6% growth, ≥ 12% functional revenue, ≥ 11% operating margin	Case fact
Brightwater $95M, 44% GM, (2%) EBITDA, $450M + $12M + $30M; velocity 2.1x / 0.8x; 18% co-pack premium	Case fact
FY29 revenue gap $240–324M; functional gap ~$245M; leverage ratios; scenario values	Calculated
Functional = Vital only (sparkling water excluded); Marrow Lane integration cost $10M	Team assumption
Deal structure $300M + $50M rollover + up to $100M earn-out; synergy percentages; partnership terms	Team assumption
Exit multiples 12–16x and 9% discount rate (illustrative); interim FY26–28 cash flows ignored	Team assumption

Assumptions that drive the recommendation: conventional velocity reaching at least 1.0x, and the manufacturing and distribution synergies, which together are about 46% of base-case FY29 EBITDA.

How we used AI and validated its outputs

We used Claude (Anthropic) to structure the issue tree, check the case arithmetic, build and stress-test the financial model, challenge our option scoring, and scaffold the dashboard code. Every figure was checked against the case exhibits, and the Excel model and the dashboard produce identical results. Assumptions are labelled as such and were reviewed and set by the team. The choice of option, the deal structure, the scoring weights and the final recommendation are our team's own judgment.



Kumar Ashwini
PGP41426 · 2nd Year MBA student · PGP (MBA), IIM Lucknow



Pankaj Goswami
PGP41434 · 2nd Year MBA student · PGP (MBA), IIM Lucknow

Explore the full analysis interactively **ashu481g.github.io/Delloite-US**